The Relationship Between Educational Attainment and Financial Management

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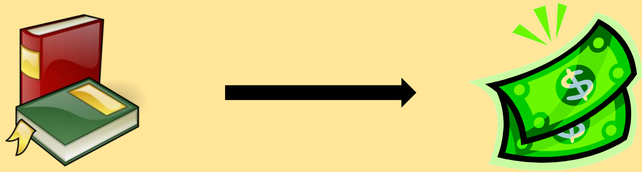
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Significance of the Study

Financial literacy is defined as "The ability to read, analyze, manage, and communicate about the personal financial conditions that affect material well-being. It includes the ability to discern financial choices, discuss money and financial issues without (or despite) discomfort, plan for the future, and respond competently to life events that affect every day financial decisions, including events in the general economy" (Johnson & Sherraden, 2007, p. 122).

Understanding finances is important if families want to manage their scarce resources to achieve goals and family well-being. The current generation of young consumers is having difficulty making smart financial decisions such as credit card usage. One group that struggles is college students. In addition, minorities and low income households lack access to financial institutions and generally have a limited understanding of the financial market (Johnson & Sherraden, 2007).

Many initiatives have aimed to improve people's financial understanding; financial counseling in particular has been found to be effective (Lusardi, 2008). However, we still know very little about people's financial behaviors, and in particular, how education level might influence expenditures and savings patterns. Therefore, the purpose of this research is to examine the relationship between educational attainment and money management, a key component of financial literacy.



Literature Review

- Education is positively related with income and expenses (Cooper & Zhu, 2016).
- Young adults with bachelor degrees earned more than high school graduates and a little bit more than associate degrees (National Center for Education Statistics, 2016).
- Savings was not appealing to lower income. Bank structures seemed complex to them (Aportela, 1998).
- Financial literacy effects spending behaviors. Those who were young and financial literature were more likely to plan for retirement (Lusardi, 2008).
- Interest in Financial Literacy is there, however it is questioned to see if people are committed (Johnson & Sherraden, 2007; Kastner & Servon, 2008).

Methods

- Data for this study was from 22 family case studies created by learners in the University of Minnesota's Financial Educator Certificate Program. The case studies were based on learners' work with real clients in the community who needed support to better manage their money.
- Case study families varied by family composition, occupation, income, education level, and spending behaviors (see table below for key descriptors of case study families).
- The family case studies consisted of 38 individual (17 males and 21 females) or 22 households with a range of ages from 18-48, an average household size of 4. The income of the households ranged from $600 to $8,600.

Table 1: Case Study Client Profile

Family Type		Ethnicity of individual/couples	
Single	1	African American – Somali	1
Single with children	3	African American	5
Divorced	3	Hispanic	6
Cohabiting	1	White	6
Engaged	1	Unidentified	4
Married	13		

Data Analysis

Step 1: Transcripts of 22 case clients were read and highlighted to get a sense of their households. Attention was specifically paid to their narratives and the analysis of their cash flow.

Step 2: An Excel spread sheet was created to place the data that had been coded. (This consisted of demographic information, expenses, debts owed, etc.)

Step 3: Created three education level groups and categorized households by individual within household holding highest educational level.

*Group 1: 7 case clients with no education, GED, or high school

*Group 2: 13 case clients with some college or associates, technical, or bachelors degree

*Group 3: 2 case clients with Master's Degree

Step 4: Conducted descriptive analyses on all groups looking at cash flow statements and narratives.

Step 5: Compared and contrasted each group to note patterns within and across the groups.





Results

Table 2	Group 1	Group 2	Group 3	All groups
Monthly Net Income (after taxes)	$3,032	$3,112	$5,426	$4,515
Average Monthly Fixed Expenses	$1,580	$1,624	$1,991	$1,640
Average Monthly Variable Expenses	$1,530	$1,816	$1,991	$1,741
Average Monthly Total Expenses	$3,154	$3,495	$3,948	$3,437
Average Monthly Cash Flow	$152	$63	$1,478	$107

- Income increased with higher levels of education
- Group 2 had the lowest monthly cash flow
- Monthly expenses increased with Groups 2 and Groups 3
- (5) households had investments into 401k at an average of $206
- Group 3 had no investments in 401k
- Debt was higher in Groups 2 & Groups 3
- Credit card & auto debt was highest among the Group 1
- Student loan debts were reported in Group 2 at an average of $1,816
  - (1) household did not complete their degree and had student loans

Discussion

- This study found that as education levels increased, so did household income. However, results showed that as individuals' income increased, they spent more of their income.
- As education for Groups 2 (some college or bachelor's degree) and Groups 3 (advanced degree) increased, their debts also increased. Two debts in particular were student loans and mortgage loans. However, those of higher educational levels were more likely to save than households whose earners had lower levels of education.
- Interestingly, several households in Group 1 (with high school degrees or less) invested in their future through 401K accounts.
- It's clear that education level matters for income-earning potential. However, it is also clear that education does not particularly influence spending and saving behaviors.

Implications

The primary finding of this research is that it cannot be assumed that people with higher education levels are better financial managers. Conversely, we cannot assume that people who do not have college and/or advanced degrees will be better money managers. Rather, financial educators and coaches need to hold these assumptions at bay as they initially interact with families and learn about their particular situations. Moreover, although households with higher income levels have more discretionary income than those at lower levels, they still need financial education and coaching, particularly to help them reduce spending and increase saving to provide a financial cushion.

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